Weekly Ship Recycling Report

21 October - 28 October 2022

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Highlights of the Week

Global steel prices are experiencing a downward pull due to plummeting demand from the end-user industries. Despite the ongoing volatility in steel prices, ship recyclers from all major recycling destinations are maintaining stable offer prices due to non-availability of tonnage in the recycling market. However, the end buyers are more inclined towards acquiring smaller tonnage as the rising inflation, economic slowdown, and depleting forex reserves have lowered their purchasing power and risk appetite.

Iron ore extended its rout to the lowest level in more than two years on mounting concerns over global steel demand. The steel-making ingredient hit USD 82.45/MT in Singapore on Thursday, its lowest since May 2020. Iron ore has been under pressure as consumption weakens in China because of the nation's housing market woes and Covid restrictions. Demand worldwide is also fading as tighter monetary policy and Europe's energy crisis roils major economies.

Steel demand in the European Union is expected to erode by 3.5% this year and fall 1.9% in 2023, hit by soaring energy prices and a looming recession. This is the second time this year the European Steel Association has downgraded its forecast for apparent steel demand, which measures output of steel producers plus net imports minus net exports.

The International Monetary Fund (IMF) has downgraded its economic outlook for Asia as global monetary tightening, rising inflation blamed on the war in Ukraine, and China's sharp slowdown dampen the region's recovery prospects. Among the biggest headwinds is China's rapid and broad-based economic slowdown blamed on strict COVID-19 lockdowns and its worsening property woes, the IMF said.

Exchange Rates:

USD / INR

This Week	: 82.38
Previous Week	: 83.14
Gained	: 0.91 %

USD / BDT

This Week	: 102.02
Previous Week	: 101.92
Lost	: 0.09 %

USD / PKR

This Week	: 221.75
Previous Week	: 220.75
Lost	: 0.45 %

USD / TL

This Week	: 18.61
Previous Week	: 18.59
Lost	: 0.11 %

India

Steel demand and prices remain stable

- The World Steel Association has projected India's steel demand growth at 6.1pc for 2022 and 6.7pc for 2023 in its short-range outlook this week. India's demand impetus is coming from government capex such as roads, railways and water and sanitation projects, and there is a revival in the auto sector too. However, there are not much vessels available for the recyclers of Alang due to the difference in prices being offered by the recyclers of neighbouring destinations i.e. Bangladesh and Pakistan.

- Market activities remained muted this week owing to festive holidays. Trade-level prices of HRCs and CRCs remained unchanged due to limited buying across the country during the Diwali week.

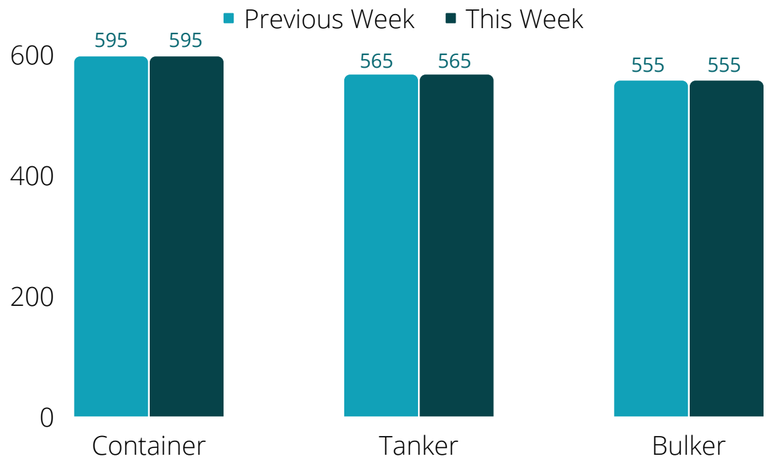
Beaching Dates

25 October to 31 October 2022

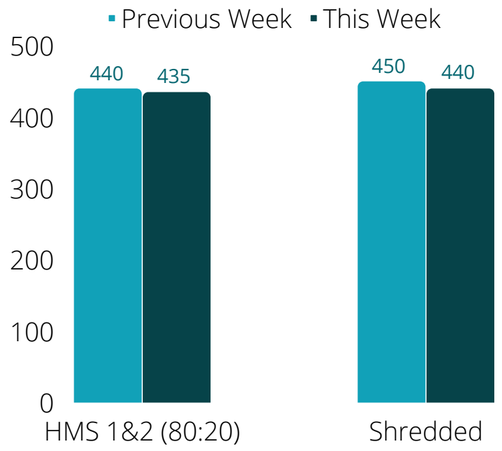
6 November to 13 November 2022

22 November to 29 November 2022

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

LC restrictions hampering purchasing power

- The ongoing liquidity issues and LC restrictions have made it difficult for the end buyers to secure vessels for recycling. The domestic steel demand also remains subdued due to the cash flow issues and limited consumption throughout the supply chain.

- Frequent power cut issues have forced major mills to cut down their production and run at lower capacities whereas mini-mills have suspended production for a while.

- Imported scrap offers have softened by about USD 15/MT week-on-week as secondary mills are preferring domestic materials over imported ones due to cost competitiveness.

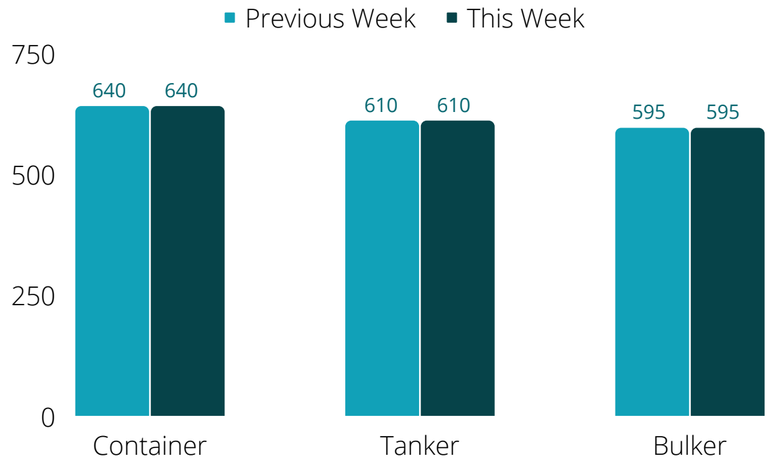
Beaching Dates

6 November to 9 November 2022

22 November to 25 November 2022

6 December to 9 December 2022

Price for Recycling Ships in Bangladesh



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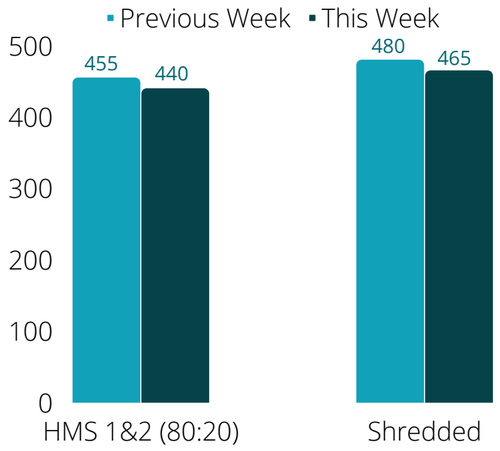


Pakistan

Upcoming Infra projects to boost demand

- In a major boost to Pakistan's fragile economy, Beijing and Islamabad agreed to build the much delayed USD 10 billion Karachi to Peshawar rail line as a key part of the ambitious CPEC project. The Pakistan government has also made a number of new proposals related to post-disaster reconstruction on which agreements are expected to be completed soon. These projects are expected to give a much-needed momentum to the domestic steel industry and thereby motivate the recyclers from Gadani to bid competitively to secure vessels for recycling.

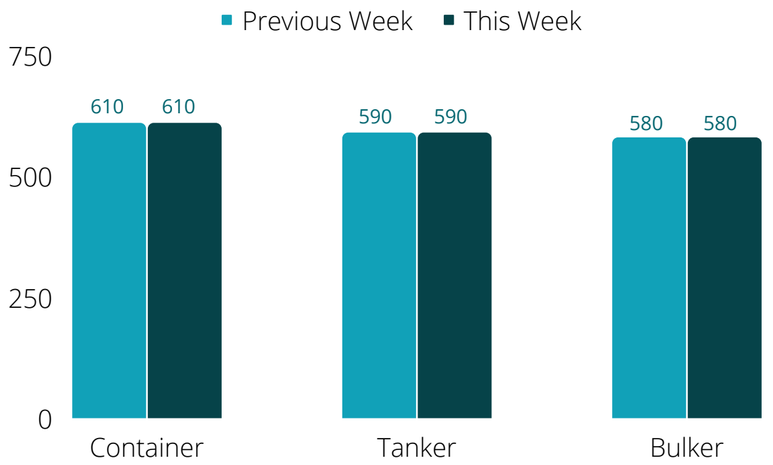
- The current foreign exchange reserves position of Pakistan stands with an import cover of fewer than 1.1 months. A critical level of reserves has caused severe pressure on the Pakistani rupee with the local unit depreciating constantly. However, funds from multi-lateral partners will improve the position.

- Imported scrap offers have softened by USD5/MT week-on-week as buying interest remains limited due to inflationary concerns.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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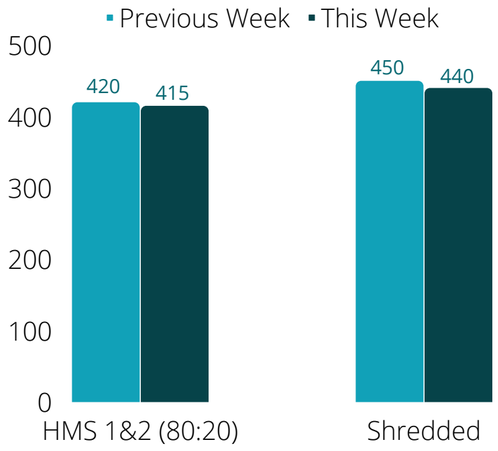


Türkiye

Weak market sentiments

- The imported scrap market remained quiet as buyers refrained from booking fresh cargoes due to unfavourable market conditions. A slowdown in negotiations continues due to the prevailing pressure on finished steel sales. The downtrend in scrap prices, however, is not expected to last long due to a continual decline in steel production.

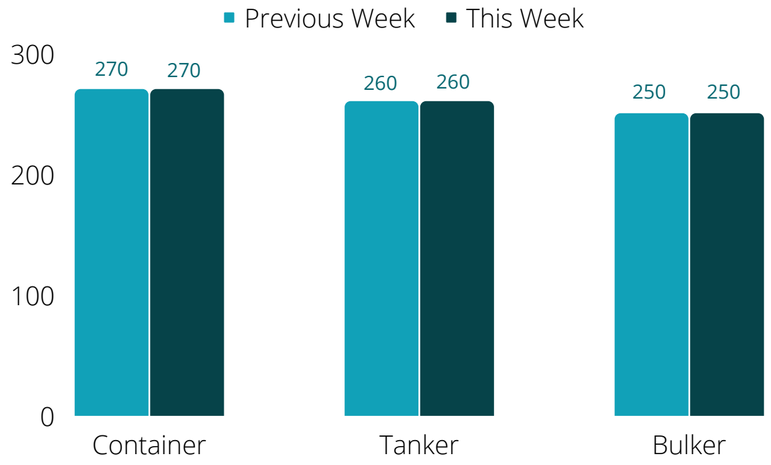
- On slow buying interest from domestic and overseas buyers, steelmakers continue to lower their rebar offer prices. However, even lower quotes have failed to stimulate trading among market participants.

- The Turkish Lira has stabilized this week against USD and the current movement shows the extent of strong intervention practiced by the Central Bank to prevent the lira from falling.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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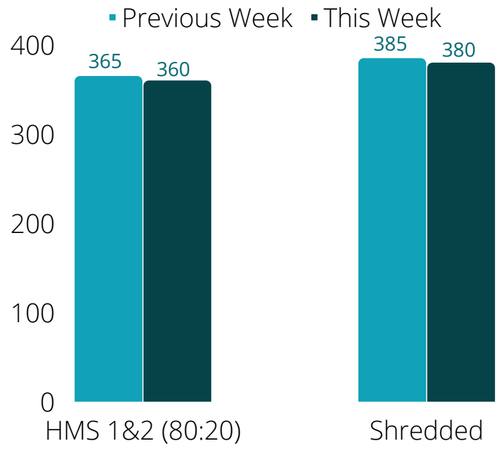
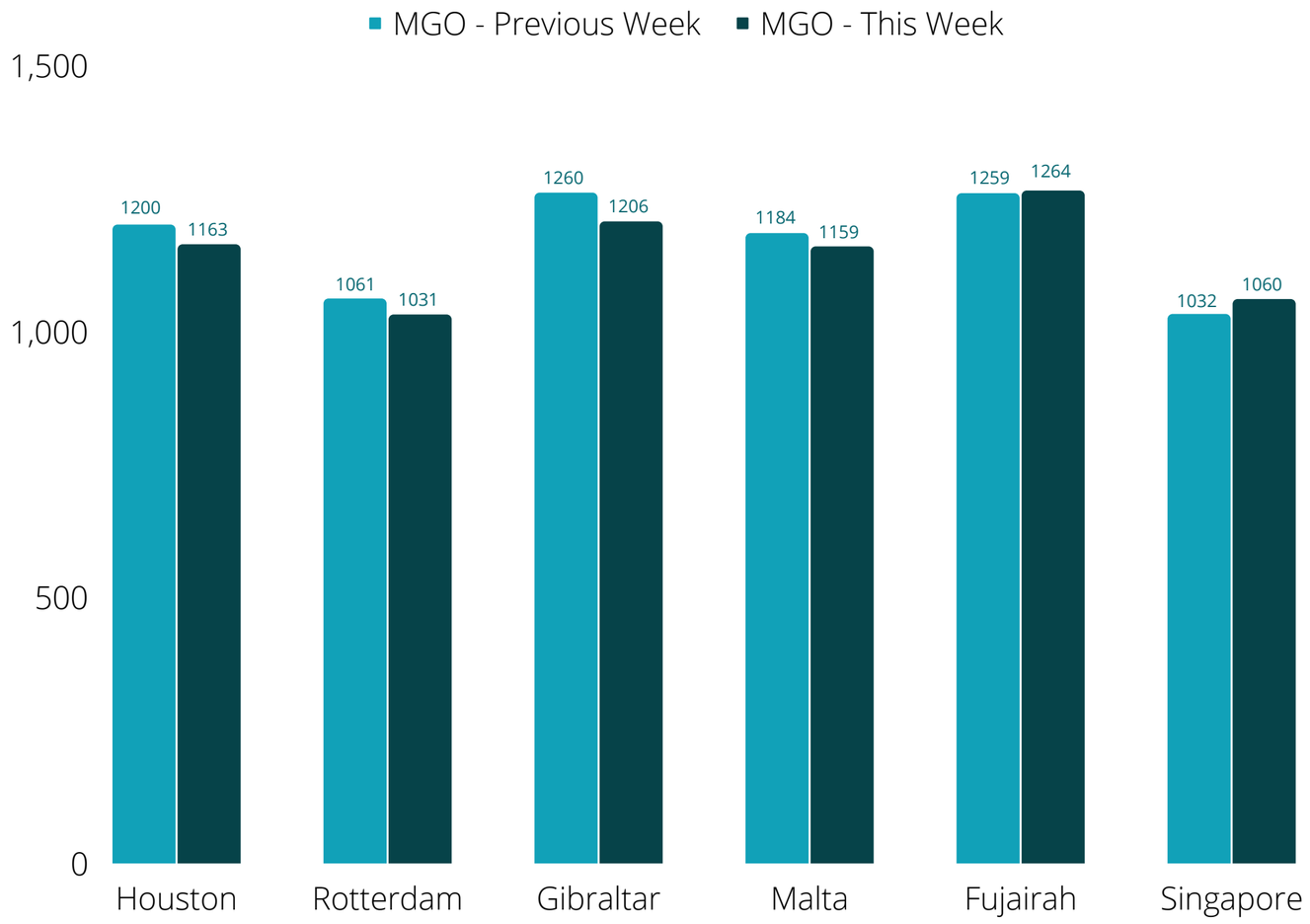


Bunker Prices at Port



Brent Crude

This Week	:	96.18
Previous Week	:	92.18
Movement	:	+4.16 %

WTI Crude

This Week	:	88.08
Previous Week	:	84.33
Movement	:	+4.26 %

- Oil prices continue to climb on optimism over record U.S. crude exports and signs that recession fears are abating.
- After racking up four consecutive monthly losses as concerns about a global slowdown gained traction, crude has rebounded in October after the OPEC+ announced a major output cut.

List of Vessels Sold this Week

- No Vessel sales to report this week

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